



EMPLOYEE BENEFITS POLICY

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Version	Release Date	Prepared By	Reviewed By	Approved By	Summary of Changes
1	01-Jan-24	HR Manager	Head – People Operations	Director	Initial release of Employee Benefits Policy including statutory benefits (EPF, ESI, Gratuity, Maternity, Bonus), leave framework, and supplementary benefits.
1.1	01-Apr-25	HR Manager	Head – People Operations	Director	Policy approval templates and expanded benefit descriptions.

PURPOSE OF POLICY

This Policy sets out the framework governing statutory and supplementary benefits provided to employees of the Company.

The objective of this Policy is to:

- Ensure compliance with applicable laws and regulations
- Provide clarity on employee entitlements and benefits
- Promote employee well-being and engagement
- Maintain consistency and transparency in benefit administration

SCOPE

This Policy applies to:

- All employees (full-time, part-time, fixed-term)
 - Contractual staff (to the extent applicable)
 - Interns, trainees, and article trainees
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I. POLICY

This Policy sets out the framework governing statutory and supplementary benefits provided to employees of the Company.

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STATUTORY BENEFITS:

Clyptus is committed to compliance with all applicable laws and regulations. The following table provides an indicative summary of key statutory benefits applicable to employees:

Benefit	Applicability	Contribution / Entitlement
Employees' Provident Fund (EPF)	Applicable to eligible employees as per law	Employer and employee contributions as per statutory rates
Employee State Insurance (ESI)	Applicable to employees within prescribed wage threshold	Contributions as per statutory rates
Gratuity	Applicable after minimum qualifying service	Payable as per statutory formula
Maternity Benefit	Applicable to eligible female employees	Paid leave and benefits as per law
Statutory Leave	Applicable to all employees	As per Shops & Establishments Act / Company policy
Bonus (Statutory)	Applicable based on wage threshold	Payable as per statutory provisions

Employees' Provident Fund (EPF)

- The Company shall provide Employees' Provident Fund benefits in accordance with the Employees' Provident Funds and Miscellaneous Provisions Act, 1952.
 - Eligible employees shall be enrolled as per statutory requirements.
 - The employee contribution shall be 12% of Basic Pay.
 - The employer contribution shall be structured as follows:
 - 3.67% towards Provident Fund (PF)
 - 8.33% towards Employee Pension Scheme (EPS) (subject to statutory wage ceiling)
 - 0.5% towards Employee Deposit Linked Insurance (EDLI)
 - 0.5% towards administrative charges, as applicable
 - The Company shall restrict its statutory contribution to the wage ceiling prescribed under law and accordingly opts to contribute on a maximum Basic Pay of ₹15,000 per month, resulting in a maximum employer contribution of ₹1,800 per month (excluding EDLI and administrative charges, as applicable).
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Employee State Insurance (ESI)

- The Company shall provide Employee State Insurance benefits in accordance with the Employees' State Insurance Act, 1948.
- The scheme shall be applicable to employees drawing gross wages up to ₹21,000 per month (or such limit as may be prescribed under applicable law).
- Eligible employees shall be mandatorily covered under the ESI scheme.
- Contributions shall be made as follows:
 - Employee Contribution: 0.75% of gross wages
 - Employer Contribution: 3.25% of gross wages
- Contributions shall be calculated on the employee's gross wages and deposited within the timelines prescribed under applicable law.
- Once an employee is covered under the scheme, contributions shall continue for the entire contribution period as defined under the Act, even if wages exceed the eligibility threshold during such period, in accordance with statutory provisions.

Statutory Leaves

- Employees shall be entitled to statutory leave benefits in accordance with applicable laws, including but not limited to earned leave, casual leave, sick leave, and notified public holidays.
- The detailed structure, eligibility, accrual, utilisation, and carry-forward of leaves shall be governed by the Company's Leave Policy, as amended from time to time.

Gratuity

- Gratuity shall be payable in accordance with the Payment of Gratuity Act, 1972 and applicable labour law provisions, including provisions relating to fixed-term employment, as may be amended from time to time.
- Employees engaged on regular employment shall be eligible for gratuity upon completion of five (5) years of continuous service with the Company, except in cases of death or disablement, where the minimum service requirement shall not apply.
- Employees who have completed four years and six months (4.5 years) or more of continuous service may be considered eligible for gratuity in line with judicial precedents and applicable interpretations of continuous service.
- Fixed-term or temporary employees engaged for a defined period may be eligible for pro-rata gratuity upon completion of their contractual tenure, including in cases where the tenure is one (1) year or more, in accordance with applicable law.
- Gratuity shall be calculated as per the statutory formula:

$$\text{Gratuity} = (\text{Last Drawn Basic Pay} + \text{Dearness Allowance}) \times 15 / 26 \times \text{Number of Completed Years of Service}$$

- For the purpose of calculation, any period of service exceeding six months shall be treated as a completed year.
- The maximum gratuity payable shall be subject to the statutory ceiling as prescribed under applicable law (currently ₹20,00,000 or as amended from time to time).
- Gratuity shall become payable upon separation of employment due to resignation, retirement, death, disablement, or termination, subject to eligibility.
- The Company reserves the right to forfeit gratuity, either wholly or partially, in cases of termination for misconduct, to the extent permitted under applicable law.
- Fixed-term employees engaged for a defined contractual period shall be eligible for gratuity on a pro-rata basis upon completion of their contract period, irrespective of completion of five (5) years of continuous service, in accordance with applicable law.

Bonus (Yearly)

- Bonus shall be governed in accordance with the Payment of Bonus Act, 1965 and applicable laws, as amended from time to time.
 - The provisions of statutory bonus shall apply to employees drawing wages up to ₹21,000 per month (or such threshold as may be prescribed under applicable law).
 - For the purpose of bonus calculation, the salary or wage shall be considered up to a maximum of ₹7,000 per month or the applicable minimum wages for the scheduled employment, whichever is higher, in accordance with statutory provisions.
 - Eligible employees shall be entitled to a minimum bonus of 8.33% of eligible wages and may receive up to a maximum of 20%, based on allocable surplus and statutory requirements.
 - Bonus shall be payable within the timelines prescribed under applicable law.
 - Employees who have not completed the minimum working requirement during the financial year shall not be eligible for statutory bonus, except as provided under applicable law.
 - Employees drawing wages above the statutory threshold may, at the discretion of the Company, be considered for ex-gratia or performance-linked bonus, based on individual performance and business results.
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PERFORMANCE APPRAISAL AND PROMOTION PROCESS:

Performance Appraisal:

The Company shall follow a structured annual performance management process.

Appraisal Cycle:

The performance appraisal cycle shall be conducted annually, commencing in June and concluding by July of each year.

Goal Setting:

Performance goals shall be defined at the beginning of the performance cycle and aligned with business objectives.

Mid-Cycle Review:

A mid-cycle review may be conducted to assess progress and provide feedback.

Year-End Evaluation:

A comprehensive evaluation shall be conducted based on:

- Achievement of goals
- Quality of work
- Behavioural competencies

Final Rating and Feedback:

Performance ratings shall be assigned and communicated to employees along with feedback.

Promotion of candidates:

- Promotions shall be based on:
 - Demonstrated performance
 - Role readiness and capability
 - Business requirements
 - Availability of suitable opportunities
 - Promotion decisions shall be subject to review and approval by management and Human Resources.
 - Promotion shall not be automatic and shall be based on merit and organisational requirements.
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SUPPLEMENTARY EMPLOYEE BENEFITS:

The Company may provide additional benefits to employees. These benefits are discretionary and subject to business requirements.

3.1 Group Medical Insurance

- The Company may provide group medical insurance coverage to eligible employees through an approved insurance provider.
- The scope of coverage, including eligibility, sum insured, inclusions, exclusions, and coverage for dependents (if any), shall be governed by the terms of the insurance policy issued by the insurer.
- Employees shall be required to comply with enrolment procedures and timelines as communicated by the Company.
- Any claims under the policy shall be subject to the terms and conditions of the insurer, and the Company shall not be responsible for claim decisions made by the insurance provider.
- The Company reserves the right to modify coverage, insurer, or terms of the policy from time to time.

3.2 Loans

- The Company may, at its discretion, provide loans or salary advances to employees in cases of genuine need, subject to eligibility criteria and approval.
- Only employees who have completed a minimum of one (1) year of continuous service with the Company shall be eligible to apply for such loans or advances.
- The amount of loan or advance that may be sanctioned shall be limited to a maximum of six (6) months of the employee's gross salary, subject to approval.
- Repayment shall be made through salary deductions over a defined period, which shall not exceed twenty-four (24) months, unless otherwise approved.
- The specific terms, including purpose, repayment schedule, and conditions, shall be determined at the time of sanction and communicated to the employee.
- Any outstanding amount shall be recoverable and may be adjusted against full and final settlement upon separation from employment.
- Grant of loans or advances shall not be construed as a matter of right and shall be subject to Company approval and business considerations.

3.3 Service Awards

- The Company may recognise employees for long and continuous service through service awards at defined tenure milestones (e.g., 3 years, 5 years, 10 years, or such other milestones as may be determined).
 - The nature of recognition may include certificates, awards, or other forms of acknowledgment as decided by the Company.
 - Eligibility criteria, award structure, and timelines shall be determined and communicated by the Company.
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- Service awards are discretionary and may be revised or withdrawn based on business requirements.

POLICY EXCEPTIONS AND COMPLIANCE

- All benefits shall be governed by applicable laws and Company policies.
- In case of any inconsistency, statutory provisions shall prevail.
- The Company reserves the right to amend, modify, or withdraw benefits based on business requirements.
- Exceptions to this Policy shall require approval from CEO Office.

CONFIDENTIALITY

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POLICY APPROVAL

Role	Name/Designation	Signature	Date
Prepared By	Nandini P/HR Manager		01-Apr-25
Reviewed By	Mahima Jaiswal/Head – People Operations		01-Apr-25
Approved By	Keerthi Priya D /Director		01-Apr-25